Journal of Financial Crises

Volume 6 | Issue 3

2024

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Recommended Citation
Arnold, Vincient (2024) "Lessons Learned: Martín Redrado," *Journal of Financial Crises*: Vol. 6 : Iss. 3, 615-616.
DOI: https://doi.org/10.17132/2693-3179.1597
Available at: https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss3/29

This lessons learned is available in Journal of Financial Crises: https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss3/29

Yale Program on Financial Stability Lessons Learned

Martín Redrado

By Vincient Arnold

Martín Redrado was appointed president of the Central Bank of Argentina by President Néstor Kirchner in 2004 and oversaw measures to manage the external shocks of the Global Financial Crisis of 2007–09. He resigned in 2010 after President Cristina Fernández de Kirchner tried to remove him over a dispute regarding the use of the bank's reserves to fund the government. After leaving the bank, Redrado authored the book No Reserve: The Limit of Absolute Power, *which argues against the danger of mixing politics and economics. He is currently a director of the think tank Fundación Capital and most recently was named secretary for strategic affairs of the government of the city of Buenos Aires. This Lessons Learned is based on an interview with Redrado held on April 14, 2023; the full transcript may be found here.*

Capital flows and the foreign exchange regime can be both an impetus for financial crises and a constraint in central banks' efforts to fight them.

Redrado emphasized that, for an emerging market financial system, the direction and speed of capital flows and their resultant effects on the exchange rate often are the first and most severe forms of contagion in a crisis. Argentina's modern history with foreign exchange–related crises began with the 1994 Mexican Peso Crisis, he said, in which Argentina suffered capital outflows for reasons unrelated to its own fundamentals but rather as a result of being regionally similar to Mexico (the so-called tequila effect). He explained:

> This was a typical example where capital outflows for external reasons ([a] sudden increase in interest rates in the developed world) puts a strong pressure on exchange rates, particularly in countries that have an open capital account. This problem was deepened with the Southeast Asia crisis in 1997.

Later, in 2001, a sudden stop in capital inflows resulted in a run on deposits during a devaluation of the Argentine peso. Six years later, in mid-2007, the first manifestations of the Global Financial Crisis came in the form of capital outflows. Redrado recalled that responding to the crisis meant a strong response to the effects of capital flows on the exchange rate to avoid bank runs. As he put it:

> [The] Central Bank accumulated precautionary foreign exchange reserves to cushion our economy from external shocks . . . What we did at that point was to use all the instruments created through our anticyclical policies. As we encountered capital outflows, the Central Bank opened all the levers of liquidity both in local and foreign currency. We used the futures markets, particularly to give predictability to market participants to hedge against volatility in the exchange rate. Overall, we set forth all the levers of liquidity through open market operations in all sorts of fixed income securities. In this way, the banking system had the capacity to respond to the demands of their clients, particularly when they withdrew deposits in dollars and or

> pesos, a typical response of the Argentine population when they became aware of a financial crisis.

Central bank swap lines can be an effective and flexible tool in responding to financial crises, both as a deterrent and as a backstop for the exchange rate regime.

Redrado said he thought that central bank swap lines had a deterrent effect when facing a financial crisis: "Currency swaps among central banks have proven to be a strong deterrence against the spread of financial crisis around the world." The disclosure of Argentina's functional central bank swap line with the People's Bank of China (PBOC) had fast announcement effect, visible in markets almost instantly, he recalled:

> The effect on our local market was immediate as it was perceived as a sign of strength of the central bank, and therefore, capital outflows diminished and the pressure on the exchange rate decreased significantly.

As a further market signaling effect, Redrado drew on the central bank's swap line with the PBOC for 5% of the maximum allowed but requested that the PBOC convert the resulting renminbi into US dollars to provide the market a clear signal that Argentina had access to foreign currency liquidity. Later, the ministry of finance utilized proceeds from the swap line to support the peso's exchange rate in the context of abolished exchange rate controls. During the COVID-19 crisis, Argentina also used the swap line to obtain renminbi to pay for imports from China, helping to shelter its dollar reserves.

Macroprudential policies put in place before a crisis can blunt the impact of a financial crisis when it develops.

Although each crisis is different, smart macroprudential policies put in place before a crisis develops can help limit the damage, Redrado said. For example, lessons learned from the Global Financial Crisis laid the groundwork for macroprudential policies critical to stemming the damage in the COVID-19 crisis. He said:

> A measure taken during my tenure to avoid currency mismatches in the banking sector was the key for keeping financial stability during this disruption in the world economy. The lessons from previous crises are that we had a solid regulatory framework that allowed people to withdraw deposits in foreign or domestic currency without any consequence on the liquidity of any institution.

Redrado said that emerging market central bankers ought to implement macroprudential tools for managing capital flows and countercyclical policies to shelter the domestic economy during global crises.

Dated: October 4, 2024

YPFS Lessons Learned No. 2023-01